

Reg No.: _____

Name: _____

APJ ABDUL KALAM TECHNOLOGICAL UNIVERSITY

B.Tech Degree S5 (S,FE) (FT/WP) Examination May 2025 (2019 Scheme)

Course Code: HUT 300**Course Name: INDUSTRIAL ECONOMICS & FOREIGN TRADE**

Max. Marks: 100

Duration: 3 Hours

PART A*(Answer all questions; each question carries 3 marks)*

Marks

- | | | |
|----|---|---|
| 1 | What are the basic economic problems? | 3 |
| 2 | Point out any three exceptions to the law of demand. | 3 |
| 3 | What do you mean by neutral technical progress? | 3 |
| 4 | Suppose $AC = 22$, $AVC = 18$ and Price = 20. Will a producer produce or shutdown in the short run? Give reason. | 3 |
| 5 | Comment on the demand curve facing a firm under perfect competition. | 3 |
| 6 | What is oligopoly? | 3 |
| 7 | Distinguish between stock and flow. | 3 |
| 8 | What is a Demat account? | 3 |
| 9 | What are the components of balance of payments? What are the two major items under current account? | 3 |
| 10 | What is devaluation? | 3 |

PART B*(Answer one full question from each module, each question carries 14 marks)***Module -1**

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|----|---|---|
| 11 | a) What is a PPC? Draw a PPC and mark under-utilisation of resources and full employment of resources. | 7 |
| | b) What is income elasticity of demand? Suppose the income elasticity of demand for a commodity is 2. If there is a 10 percent change in the income of a consumer, what will be the percentage change in quantity demanded? | 7 |

OR

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|----|--|---|
| 12 | a) Suppose the government imposes a tax on a commodity. How it affects consumer and producer surplus? Draw a diagram and explain. Also mark deadweight loss. | 7 |
|----|--|---|

- b) The demand function of a product is given as $D = 100 - 4P$ and the supply function $S = 40 + 6P$. Estimate equilibrium price and equilibrium quantity. Also find the excess demand when Price equals Rs.5.

Module -2

- 13 a) What is an isoquant? What are the properties of an isoquant? Why an isoquant is convex to the origin? 7
- b) The total cost function of firm is given as $TC=500+5Q - 4Q^2+Q^3$. Derive AC, TVC, AVC and MC. Also find TFC and MC when output equals 50 units. 7

OR

- 14 a) How will you find least cost combination of a firm with the help of an isoquant and isocost line? 7
- b) Suppose the monthly fixed cost of a firm is Rs.10000. The price per unit of output is Rs.20 and the average variable cost is Rs.10. Find i) Break-even output ii) Profit earned when the firm sells 2000 units iii) If the firm wants to bring down the break-even output to 500 units, what should be the price to be charged? 7

Module -3

- 15 a) How will you find the equilibrium level of output of a firm under perfect competition with MC, MR approach? State the condition for equilibrium 7
- b) Make a comparison between monopoly and monopolistic competition. 7

OR

- 16 a) State the features of perfect competition and monopoly. Make a comparison between the demand curve of a firm under perfect competition and monopoly. 7
- b) What is non price competition? List any five methods of non-price competition. 7

Module -4

- 17 a) What are the effects of inflation? 7
- b) How is GDP estimated according to the expenditure method? Estimate GDP and GNP from the given data (all figures in Rs. Crores). 7
- Private final consumption expenditure - 1000, Investment expenditure – 500, Wages and salaries – 600, Government expenditure – 400, Rent – 100, Net exports -100, Net factor income from abroad - 200

OR

- 18 a) What is a stock market? List out the major functions of a stock market. 7
- b) Estimate NDP, GNP and NNP from the given data (in Rs. Crores). 7

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GDP =2000, Depreciation=200, NFIA= (-300), Indirect tax =500

Module -5

- 19 a) Explain the absolute advantage theory with a numerical example. 7
b) What is free trade? State any five arguments in favour of free trade. 7
- OR
- 20 a) Define international trade. What are the advantages of foreign trade? 7
b) What is devaluation? Examine the success of devaluation when demand for export is more elastic or less elastic. 7
